

“India should start privatising public sector banks”

Arvind Panagariya, Chairman of the 16th Finance Commission, on growth, inequality, jobs, the banking sector, and more

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Arvind Panagariya, Professor of Economics and Jagdish Bhagwati Professor of Indian Political Economy at Columbia University, is the Chairman of the 16th Finance Commission. Panagariya, who was the first Vice Chairman of the NITI Aayog and is a former Chief Economist of the Asian Development Bank, has a PhD in Economics from Princeton University. In an interaction with *Business Today* TV Managing Editor *Siddharth Zarabi*

at the recent *Business Today* Banking & Economy Summit held at GIFT City, Gandhinagar, the 71-year-old economist says it is a good time to privatise public sector banks as they are now in good health, are flourishing, and have solid value. Edited excerpts:

Q: There has been a growing debate around rising inequality in India in the recent past. Is it true that India has become more unequal?

A: There are many aspects to the question of inequality. One of these is that inequality has many different measures. You can measure inequality through a Gini coefficient that economists typically use to determine overall inequality in a group. But then you can also measure rural and urban inequality, you can measure [the] top 1% relative to the bottom 10%, you can measure the wages of the skilled to the unskilled in the organised sector. With all these measures, if you are really after alarming people, you can always find a measure that shows rising inequality.

The claim that the top 1% of Indians have 23% of in-